

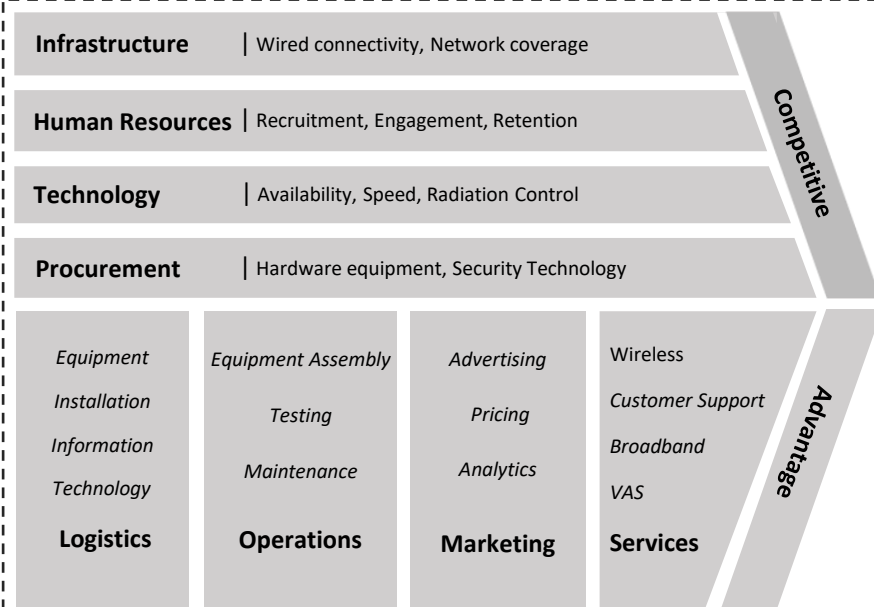
Market Overview & Trends

- India is the world's **2nd largest** telecom market with a subscriber base of **1.2 billion users**
- With a gross annual revenue of **₹1.6 trillion** the sector contributed **6.5%** to India's GDP in FY20
- As of Feb 2021, India has **765.09 million internet users** of which 742.84 million are wireless subscribers
- Telecom penetration rose from 18.23% in FY16 to **88.17% in FY21**.
- FDI inflow into the telecom sector during April 2000 – December 2020 totalled **US\$ 37.62 billion** according to DPIIT data
- Major telecom operators together owe **₹93,520 crore** to the government in AGR dues which includes ₹25,976 crore owed by Airtel and ₹12,601 crores by Tata Teleservices
- Telecom tariffs have **zoomed 25%** in the past three years, leading to an increase in ARPU from INR 110 (FY19) to INR 145 (FY 21) and the industry believes there is headroom for another 37% upside in near future
- BSNL, in Dec 2020, in partnership with Skylotech India, announced a breakthrough in **satellite-based NB-IoT** (Narrowband-Internet of Things) for fishermen, construction and logistics enterprises

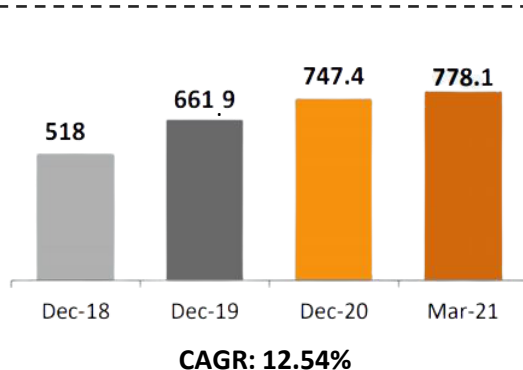
Government Initiatives

- Government launched a ₹12,195 crore (US\$ 1.65 billion) **Production-linked incentive (PLI)** scheme for the telecom sector which is expected to bring in investment of around Rs. 3,000 crore (US\$ 400.08 million)
- In 2021-22, the Department of Telecommunications (DoT) has been allocated ₹58,737 crore (US\$ 8 billion), 44% of which is for **capital expenditure**
- In Budget 2021, the government allocated ₹14,200 crore (US\$ 1.9 billion) for **telecom infrastructure** that entails completion of optical fiber cable-based network for rolling out broadband in **2.2 lakh panchayats** and improving mobile services in the North East
- FDI cap** in the telecom sector has been increased to **100%** from 74%. 49% will be done through the automatic route and the rest will be done through the FIPB approval route
- The government **rolled back Retrospective Taxation** introduced in 2012, a move which is expected to bring relief to the much troubled telecom giant Vodafone-Idea
- In Dec 2020, the Union Cabinet approved a proposal for setting up of **Public Wi-Fi Networks** by Public Data Office Aggregators (PDOAs) to provide public Wi-Fi services through Public Data Offices (PDOs)

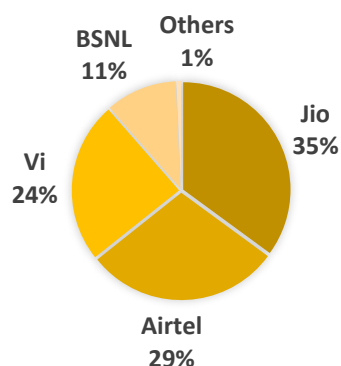
Telecom Industry Value Chain



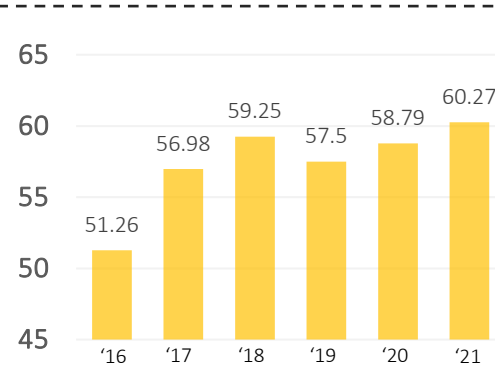
Internet Subscribers (million)



Market Share



Rural Tele-density(%)



The Vodafone-Idea Saga

- Telecom giants Vodafone and Idea merged in 2018 becoming India's largest telecom operator with **402 million users**
- VI has a total debt of **₹1.8 trillion** of which 86% is owed to the government in deferred spectrum payments and AGR dues
- VI is taking efforts to mitigate its debt through refinancing and floor price hike

5G

- 27% of all mobile internet users to adopt 5G by 2026 translating to a **350 million 5G subscriber base**
- As of May 2021, DoT has allocated spectrum for a six-month 5G in India trial to telcos, with preference given to homegrown OEMs

Key Performance Indicators

ARPU

Churn Rate

Minutes of Use

Cost Drivers

Spectrum Purchase

Infrastructure

Technological R&D

Growth Drivers

Robust Demand

Digital Adoption

Mobile Payments